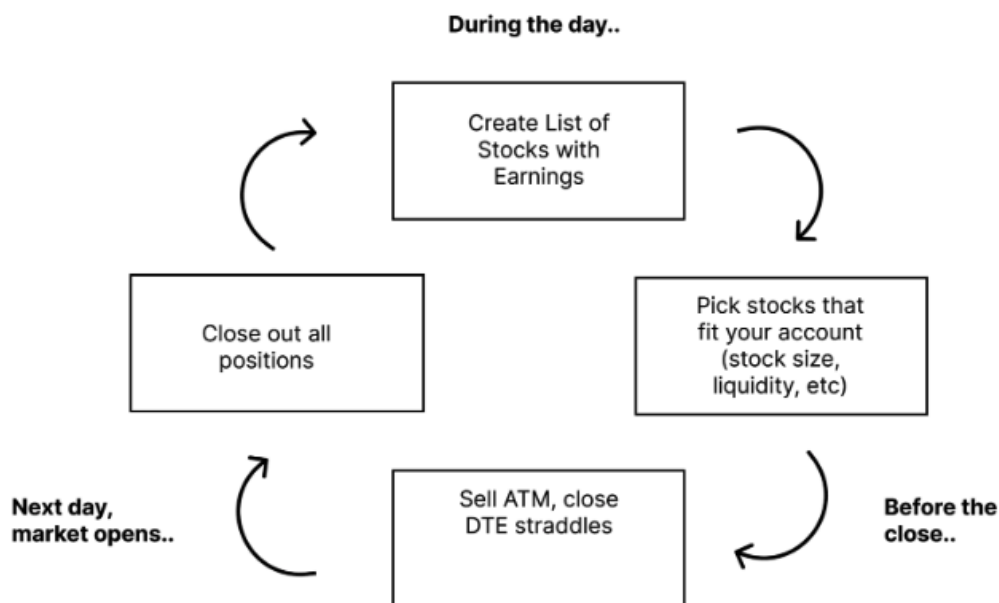


Finding Trades for the Earnings Premium Strategy

At a base level, all we need to do is generate a list of tickers that are releasing their earnings between today's market close and tomorrow's market open. Then we pick out a basket of the ones that we are going to trade today.



If you recall the steps to the earnings strategy from the previous chapter, what we are talking about now is the first two steps: creating a list and picking the stocks.

Similar to the ETF Premium strategy, *we are not trying to time the premium.*

We know the premium exists. And we know that with earnings the way to extract it is to place *a lot of trades.*

At a core level, our stance is that we take every single earnings trade where the ticker is liquid enough to get in and out of the position.

You'll have access to backtest results and other data if you want to add your own customizations later.

Open the scanner, switch to "Today's Earnings Trades"

As with the ETF Premium strategy, everything you need is found in the Predicting Alpha terminal, which has a pre-built scanner that shows all the potential earnings trades we can take for today.

TODAY'S EARNINGS TRADES - VOLATILITY SCANNER
Last Updated: Thursday, April 18, 10:00 AM EDT

Today's Earnings Trades | New Scanner | Save | Video Demo | Discord

Search Ticker | Filters: (7) | 7 Columns | 20 | 1 of 1

Ticker	Price	Call PnL	Put PnL	Straddle PnL	IEM	Avg Move	Earnings Report
NFLX Netflix Inc	\$607.58	-10.00%	653.00%	358.00%	8.43	10.63	View Report
WAL Western All...	\$55.80	774.00%	-231.00%	223.00%	6.49	6.46	View Report
ISRG Intuitive Sur...	\$369.94	-57.00%	298.00%	122.00%	5.73	5.4	View Report
RF Regions Fin...	\$18.91	-52.00%	-12.00%	-41.00%	3.84	3.9	View Report
FTIB Fifth Third B...	\$34.22	-170.00%	-122.00%	-113.00%	2.86	2.38	View Report

List of Stocks With Earnings Today

- All trades on this list have an earnings event between market close today and market open tomorrow.

Recommendation: Customize this list based on your account size.

If you are trading with a \$10,000 account, you probably don't want to place trades on companies with a very high dollar cost on their stock.

The reason? The margin required, straddle price, and % change in your account value due to the trade outcome are all too high. I recommend customizing your scan to have an upper limit of stock price so that you are no longer seeing trades that you can't/shouldn't take.

Example: Selling a single straddle on AMZN is much different than selling one VALE. The margin required and the PnL swings are different. And remember, with earnings we are trying to place lots of trades, not have our year dictated by the outcome of a single one.

How to customize your earnings scanner to fit your account.

Open the filter settings on the scanner, and set "max" value for Price.

FILTER SETTINGS

Click on the categories to view columns to filter. Changes applied automatically.

DESCRIPTIVE	
Price ?	5 - 50
Price Chng 1d ? (percent)	min - max
Price Chng 5d ? (percent)	min - max
Asset Type ?	1 Selected
Market Cap ? (millions)	min - max
Market Type ?	0 Selected
Merger & Acquisition ?	2 Selected
Sector ?	0 Selected
Industry ?	0 Selected
OPTION	
VOLATILITY	

There are no fixed rules here. You are just trying to filter out tickers that you definitely should not be trading. If you are trading with less than \$10,000, setting a price less than \$100 is probably a reasonable starting point.

Once done, save it as a new scanner and then it'll be there for you every time you log into the terminal!

Getting back on track, that is literally all you need to do. Sorry it's not more thrilling, I've been telling you the whole time that even the more exciting strategy (this one) is still boring at its core.

Pro Tip: Place as many trades as possible

I have seen traders take a number of different approaches to improve their returns. Whether it be sorting by the highest implied move, the backtest PnL, etc.

But nothing will do more for your PnL than taking more trades.

Going back to our car insurance example from the last chapter, even if you have the best model in the world for pricing car insurance, if you only insure one car, you are screwed if they crash. Your model will not compensate for the variance you will experience.

So the most important part of this strategy is..

Place more trades.

Moving on! Let's talk about the structure you are going to be trading.